Demchok was a small hamlet inhabited by a few families living on the southern side of the Indus, tucked into the valley of the Demchok stream that originates from the Charding-la. Prior to Independence, the Kashmir State Forces and since 1948 troops of 7 J&K Militia had been performing the duties of the Frontier Police. The battalion, made up of three wings, was headquartered at Koyul and was being commanded by Lieutenant Colonel R. M. Banon. Old Demchok was the rear base and it also served as a staging post for the B-Wing troops guarding Jara-la, Oga, Chang Pass and Dumchole. C-Wing was responsible for Tsaka-la and Dungti while A-Wing's area of responsibility was the International Border Post, Old and New Demchok and High Ground.

On the Chinese side, the area south of their base at Ruksum was part of the Tibetan Western Command. Ruksum had an infantry battalion as did Tashigang, both reporting to the Regimental HQ in Rudok. The Chinese had been relatively inactive in this area, being content with building a motorable road up to the Chang Pass. However, their intention now was to cross the range in the north and occupy the southern and western slopes up to Dumchole and the Indus River. Therefore they needed to occupy the entire area to the east of the Dumchole-Koyul line enveloping the crest of the Hanle Ridge extending up to Charding-la.

The Demchok Sector showed no signs of Chinese activity as of 20 October. However, the invasion of Indian territory in the Northern Sector resulted in XV Corps issuing orders to two patrols—one operating towards Charding-la and the other along the Indus Valley—to immediately fall back on the International Border Post after which they were to withdraw to High Ground that was under the command of Major S. K. Sharma. This had been completed by the evening of 24 October. High Ground had a total of five platoons, two sections of 3-inch mortars, two sections of MMGs and four RCL guns, which by Indian standards was almost six times the force levels deployed at any one post in Ladakh. In addition, a party of sappers had also arrived and succeeded in not only strengthening the defences but also laying out barbed wire and anti-personnel mines. On 26 October, Sharma informed Banon in Koyul that he was ready for the Chinese.

Banon decided to send a few more troops to High Ground, Jara-la and Chang Pass. Charding-la was to remain undefended. In the event of an attack, the troops at the Chang Pass were only to delay the Chinese and fall back on Dungti. The men at Dumchole were also to fall back on Koyul,